A stronger Indian economy—particularly one that is able to improve labour productivity, human capital, and manufacturing—would benefit India in many ways from a foreign policy standpoint. It would increase its tax revenue and therefore provide more resources for military and security spending, intelligence collection and management, and Indian diplomatic capacity. Additionally, it would mean more resources for foreign grants and lending, thus increasing India's international profile as a creditor. It could strengthen India's hand as a monetary power and potentially improve the performance and profile of state-owned enterprises and private corporate entities. The Indian market will also become more highly sought after, a source of potential leverage. A stronger and more competitive economy will, in time, mean a greater international role and profile for Indian businesses, its media, its academic institutions, and its cultural and religious groups. It is by no means a foregone conclusion, but a more secure and prosperous India will naturally contribute to a more powerful and influential India on the world stage.

Lessons Learned: The Perils of Isolationism

India has long been on a quest for self-reliance. This remains justifiable, insofar as it is unwise to create unnecessary dependencies that other powers might exploit in a competitive international environment. This sentiment has a tradition in the Independence movement, with Mahatma Gandhi's call for domestic textile production (khadi) as part of the Swadeshi movement. In recent years, the government of Narendra Modi has advertised 'Make in India' and called for Atmanirbhar Bharat ('self-dependent India'). But that objective, however necessary, should not be conflated with isolationism. Indeed, the success of Atmanirbhar Bharat requires investment, technology, talent, know-how, and market access from the rest of the world. An overview of India's own history reveals how periods of isolationism led to its missing out on opportunities, resulting in a more hostile international environment. By contrast, most major powers of the past 200 years—including the United States, Russia, China, or Japan— took considerable